

BENEFITS OF GMMA OVER MOVING AVERAGE CROSSOVERS

LESS FALSE MOVES

Guppy multiple moving averages require the entire set of short term moving averages to cross the entire set of longer-term moving averages. This crossing takes a few sessions and requires a strong underlying trend rather than some random crossovers. In case there is a false move, by the time the entire sets cross each other, the false move would have fizzled out. So, it gives enough time for false moves to revert as the crossovers will require a few sessions.

As a result, GMMA produces much less false moves as compared to a simple two moving average cross-over which produces false moves on even smaller movements.

AVOIDS SIDEWAYS MARKET

GMMA helps us be better prepared for a sideways market. This is because each set of moving average produces convergences and divergences in themselves too.

We say that the moving averages are in convergence when the gap between different averages, in the long term set of moving averages, is low. We will refrain from initiating any new trade when the long term moving average is in convergence. This will help us avoid the sideways market. We will be seeing this with examples very shortly.

This is how we will be using GMMA to generate trading signals. This should take nothing away from the two moving average crossovers. They have different utility and place in the trading system. On the flip side, GMMA also has few demerits. It does not indicate a fixed entry and exit point as the crossovers are not always definite. Secondly, it offers a slightly delayed exit when we are in a trade. These will be better understood by the analyst upon practice. They will be able to understand the subtle parts and differences upon practice. Let us look at multiple GMMA charts.